



Cambridge International AS & A Level

ECONOMICS

9708/32

Paper 3 A Level Multiple Choice

February/March 2023

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

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- 1 Utility theory is based on the assumption of the 'rational consumer'.

What is necessary to act as a 'rational consumer'?

	access to complete information	addictive behaviour	choice is independent of other consumers
A	no	yes	yes
B	yes	no	no
C	yes	yes	no
D	yes	no	yes

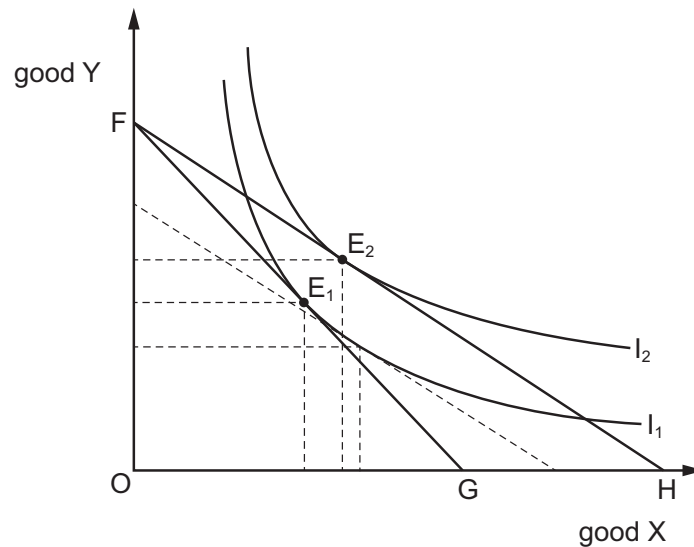
- 2 The price of good S is \$6 and the price of good T is \$8. A consumer's marginal utility for each good is shown.

units	marginal utility of good S	marginal utility of good T
1	36	32
2	24	22
3	18	20
4	9	18
5	0	9

If this consumer wants to maximise total utility, which combination of goods would they consume?

	good S	good T
A	1	1
B	2	1
C	3	4
D	5	5

- 3 The diagram shows the effect of a price change on an individual consumer's equilibrium, moving from E_1 to E_2 .

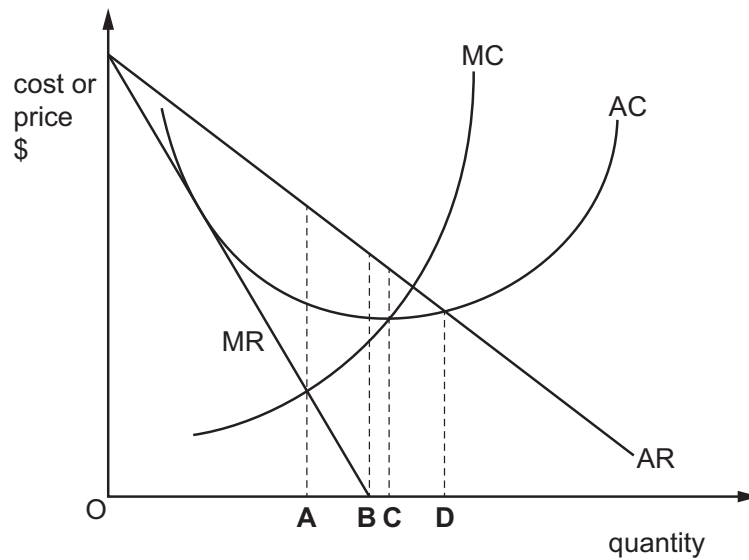


What can be deduced from the diagram about the price change, the substitution effect and the income effect?

	price change	substitution effect	income effect
A	price of X falls	positive	positive
B	price of X falls	positive	negative
C	price of Y rises	negative	positive
D	price of Y rises	negative	negative

- 4 What is likely to help create dynamic efficiency?
- A** Entry barriers are reduced to increase competition in the market.
 - B** Firms are legally bound to produce where price equals marginal cost.
 - C** Taxes on profits are raised to encourage firms to produce where price equals average cost.
 - D** Taxes on retained profits are reduced to encourage investment in new technology.

- 5 At which level of output is sales maximisation achieved consistent with earning normal profit?



- 6 What is achieved in monopolistic competition in the long run?

	allocative efficiency	supernormal profit
A	no	no
B	no	yes
C	yes	no
D	yes	yes

- 7 The world's largest pharmaceutical companies developed and distributed an effective vaccine to combat a dangerous virus.

What can be associated with this vaccine programme?

- A** demerit good and negative production externality
- B** imperfect competition and positive consumption externality
- C** perfect competition and negative consumption externality
- D** public good and negative production externality

- 8 A landlord owns a house which is rented to tenants. The tenants are required to pay the electricity and water bills. The landlord is required to decorate and repair damage to the house and its gardens.

What is **not** an example of the principal-agent problem?

- A The tenants forget to switch off a tap when filling a bath and water overflows, damaging the floor.
 - B The tenants have a party and their guests cause damage to the interior of the house.
 - C The tenants leave the lights and the TV on when they go out for an evening meal.
 - D The tenants park their car in the garden, damaging the grass and the surrounding hedge.
- 9 The result of a cost-benefit analysis of a proposed government road-building project is that there will be a positive net social benefit of \$50 million.

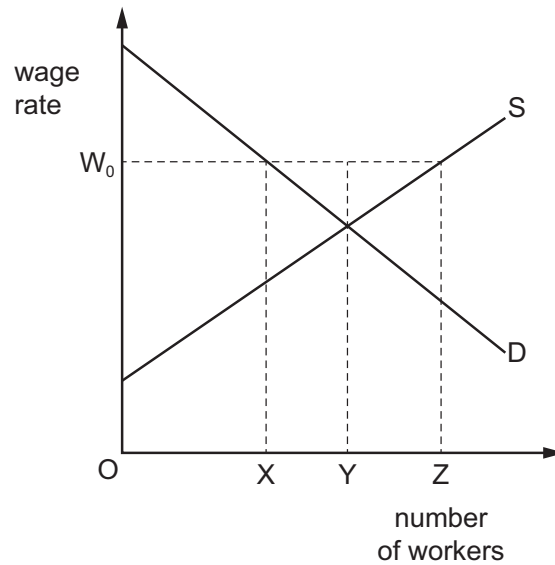
Why might the government **not** proceed with the project?

- A The project would not be profitable for a private firm.
 - B The project would cause negative externalities.
 - C There is limited capital available for government projects.
 - D There would be more who lost than gained.
- 10 If the marginal cost of a good is lower than its price, allocative efficiency has not been achieved.

What is likely to remedy this situation?

	production of the good	price of the good
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

11 The diagram shows an industry's demand for and supply of labour.

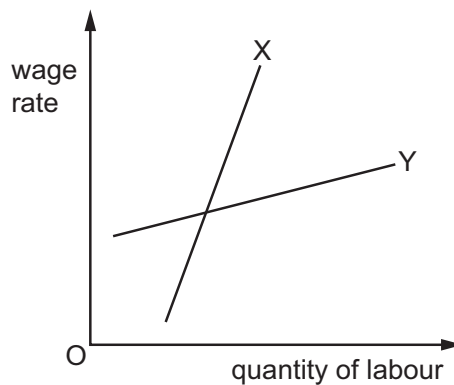


Initially, the labour market is in equilibrium. The government introduces a minimum wage of OW_0 .

What will be the effect on the level of employment in the industry?

- A a decrease equal to XY
- B a decrease equal to XZ
- C an increase equal to XY
- D an increase equal to YZ

12 The diagram shows the supply curve of labour for two separate markets, X and Y.



What explains the difference in the gradients of the labour supply curves?

- A Market X has a higher marginal revenue product per worker than Y.
- B Market X has a higher percentage of its labour belonging to a trade union than Y.
- C Market X has higher labour costs as a percentage of total costs than X.
- D Market X has more specific skills and training requirements than Y.

- 13** The table shows the main characteristics of employment in two occupations.

	occupation X	occupation Y
average annual wage	\$100 000	\$60 000
number of weeks of annual leave	5 weeks	10 weeks
average length of working week	48 hours	44 hours
job security	low	high
length of training course to obtain job qualification	1 year	2 years

What can definitely be deduced from the table?

- A** Those employed in occupation Y attach greater importance to job security.
- B** Those employed in occupation X attach less importance to leisure activities.
- C** There will be more competition for places on training courses to enter occupation X than occupation Y.
- D** Occupation Y has more non-pecuniary advantages than occupation X.
- 14** Which changes in direct and indirect tax are likely to increase the inequality in the distribution of income in a developed economy?

	direct taxes	indirect taxes
A	fall	fall
B	fall	rise
C	rise	fall
D	rise	remain constant

- 15** A government wishes to reduce the use of cars in cities.

Which policy should be used?

- A** a decrease in parking charges
- B** lowering tax on petrol (gasoline)
- C** restricting cycling
- D** subsidising public transport
- 16** In a country, the top 20% of earners pay 45% in income tax and 25% on sales taxes, and receive 5% in cash benefits.

What is the percentage of disposable income for this group?

- A** 30% **B** 55% **C** 60% **D** 80%

- 17** Which combination of circumstances is most likely to lead to an increase in a country's budget deficit?

	total GDP	unemployment	government spending
A	decreases	rises	decreases
B	decreases	rises	no change
C	increases	falls	increases
D	increases	falls	no change

- 18** Which statement applies to a central bank and to a commercial bank?

		central bank	commercial bank
A	issues bank notes	yes	yes
B	lender of the last resort	yes	yes
C	maximises profit	no	yes
D	receives deposits directly from the government	no	yes

- 19** What is most likely to be the biggest contribution to sustainable economic growth in a developed economy?

- A** a movement of people from rural to urban areas
- B** an increase in technical training
- C** an increase in the size of the population
- D** rising consumer credit levels

- 20** Which policy is likely to increase unemployment?

- A** an increase in retraining facilities
- B** a significant increase in indirect taxes
- C** the imposition of selective import controls
- D** an increase in the public sector deficit

21 What does *the accelerator principle* state?

- A Consumption is a function of the rate of change of income.
- B Income is a function of the rate of change of investment.
- C Investment is a function of the rate of change of income.
- D Investment is a function of the rate of interest.

22 Which government aim is **least** likely to be achieved using macroeconomic monetary policy measures?

- A low unemployment level
- B more equal income distribution
- C stable exchange rate
- D steady price level

23 A government adopts an expansionary fiscal policy to increase the economic growth rate.

Which other main macroeconomic aims is this policy most likely to help?

	full employment	stable price level	current account surplus
A	✓	✓	x
B	x	✓	✓
C	x	x	✓
D	✓	x	x

24 Country X decides to devalue its currency to eliminate a balance of payments deficit.

Why might devaluation have a positive effect on its macroeconomy?

- A Competitive pricing of exports may create employment potential in country X.
- B Foreign importers may depreciate their own currencies and reduce any advantage gained by country X.
- C Inelastic demand for imported raw materials may lead to cost inflation in country X.
- D Loss of import duties by country X may reduce government backing for trade promotion.

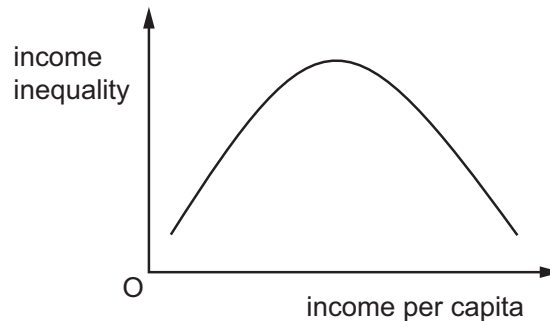
25 Which cause of economic growth would involve the least cost for present and future generations of a country's population?

- A** increased exploitation of a country's mineral resources
- B** investment financed by borrowing from abroad
- C** investment financed by high rates of domestic savings
- D** technological innovations in production processes

26 Which additional components may be included when measuring economic development that are **not** included in measures of economic growth?

	changes in the distribution of GDP	level of poverty	real income per capita
A	no	no	yes
B	no	yes	no
C	yes	yes	no
D	yes	yes	yes

27 Which curve is shown in the diagram?



- A** Kuznets curve
- B** Laffer curve
- C** Lorenz curve
- D** Phillips curve

28 Which indicator is **least** likely to be used when measuring the comparative economic development of an economy?

- A** mean years of schooling
- B** average life expectancy at birth
- C** level of real GNP per head
- D** size of population

29 What is an example of an expenditure-switching policy?

- A** an increase in income tax rates
- B** an increase in interest rates
- C** an increase in tariff rates
- D** an increase in the supply of money

30 Labour from low-income countries often migrates to high-income countries and finds jobs.

How would such a movement of labour be likely to affect the economic growth and the pressure on wage rises in the high-income country?

	economic growth	pressure on wage rises
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase



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MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the February/March 2023 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

This document consists of **3** printed pages.

PUBLISHED

Question	Answer	Marks
1	D	1
2	B	1
3	B	1
4	D	1
5	D	1
6	A	1
7	B	1
8	C	1
9	C	1
10	C	1
11	A	1
12	D	1
13	D	1
14	B	1
15	D	1
16	C	1
17	B	1
18	C	1
19	B	1
20	B	1
21	C	1
22	B	1
23	D	1
24	A	1
25	D	1
26	C	1
27	A	1
28	D	1

Question	Answer	Marks
29	C	1
30	C	1